

Support & Resistance Zones Identification

Concepts

- **Support Zone:** Price level where buying interest is strong enough to overcome selling pressure, causing price to bounce upwards.

- **Resistance Zone:** Price level where selling pressure overcomes buying interest, halting or reversing an upward trend.

- **Role Reversals:** Once broken, former support becomes resistance, and former resistance becomes support.

Strategy

Always place BUY orders near strong support zones with Stop-Loss just below support. Never buy directly under a major resistance level.